



The French car market between recomposition and constraints

Executive summary

The French car market remains dominated by European manufacturers, despite a temporary breakthrough by Asian brands in 2024. This recomposition reflects the delayed effects of supply-chain tensions, intensifying competition and the sector's technological transformations. At the same time, higher vehicle prices and borrowing costs have reduced the affordability of new cars, increasing households' sensitivity to price. Finally, the regulatory framework — by pushing manufacturers to invest more to meet decarbonisation targets — adds further pressure on costs and selling prices.

PUBLICATION DATE

April 2026

FIELD

France / sector

MAIN SOURCE

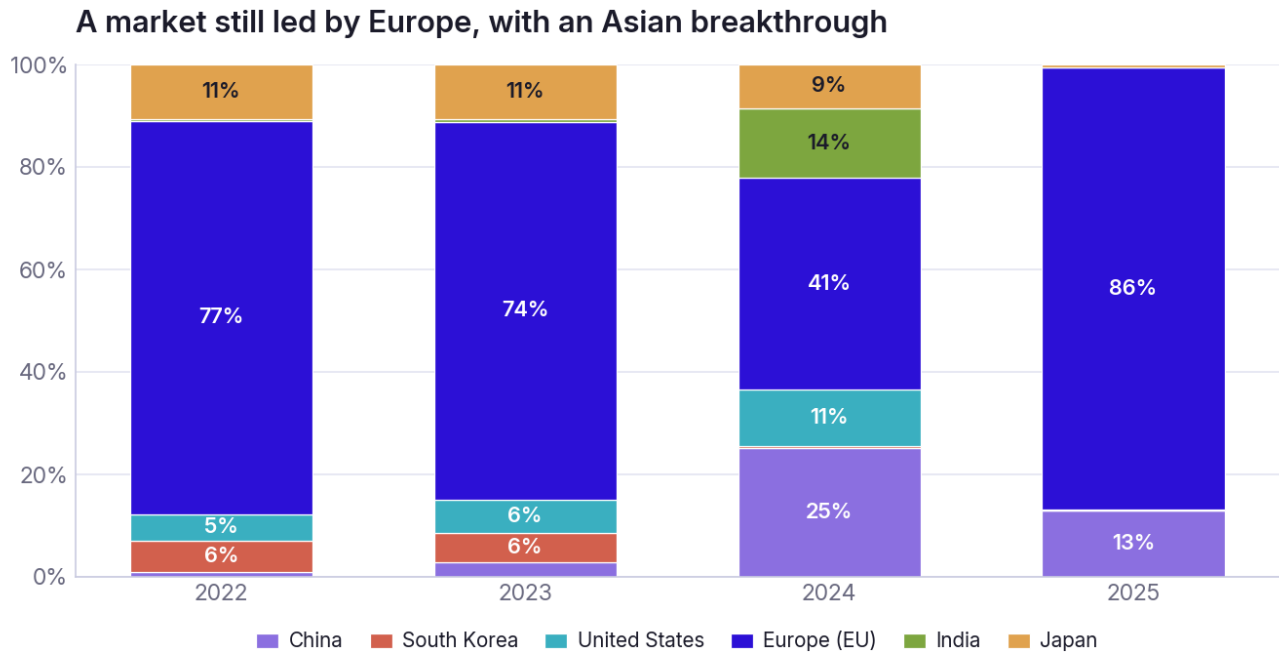
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1. Cyclical analysis

European manufacturers retain a central position in the French market, despite a temporary rebalancing observed in 2024 in favour of Asian brands, notably Chinese ones. After a 2023 still marked by strong supply-chain tensions on electronic components, which had helped reconfigure the market, 2024 amplified this recomposition dynamic.

Figure 1. A structurally European market

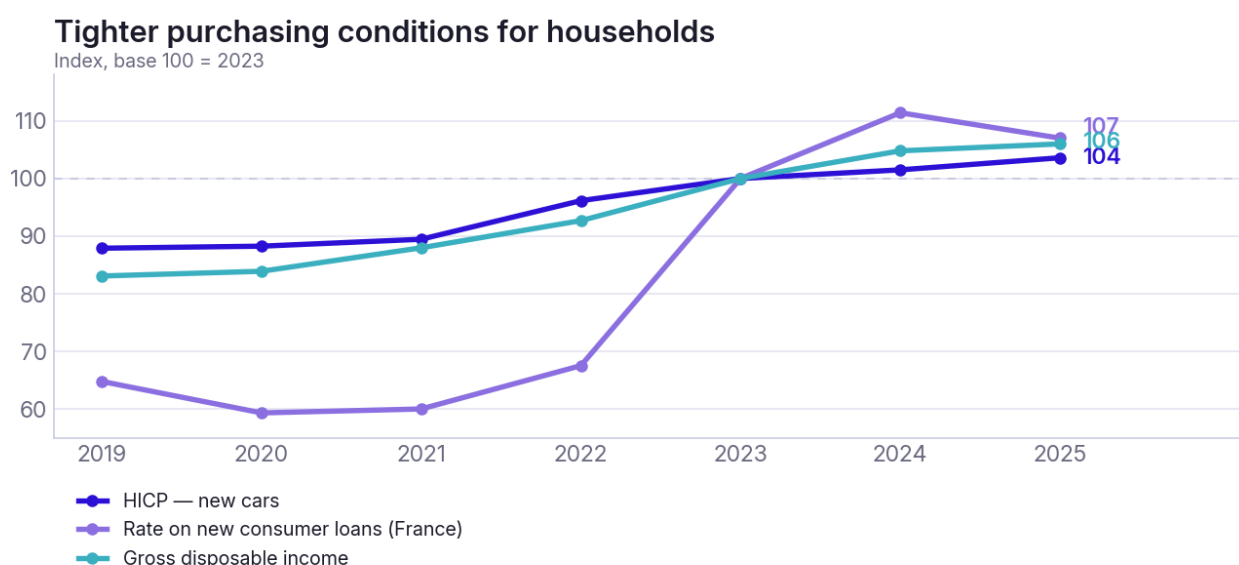


Source: CCFA — passenger cars registered, 2022–2025.

Shifts in competitive positions and the rise of new entrants illustrate the transformations under way in the sector. The car market is characterised by strong competitive intensity, in which market shares can vary rapidly from one year to the next under the combined effect of supply conditions, pricing policies, technological change and demand behaviour.

2. Explanatory factors

Figure 2. Increasingly binding purchasing conditions for households



Source: INSEE, Banque de France, Eurostat. Index, base 100 = 2023.

The evolution of the car market must also be assessed in light of demand conditions. While gross disposable income has risen recently, this increase is not enough to fully offset the rise in new-vehicle prices and, above all, the higher cost of financing. The sharp rise in rates applied to new consumer loans has weighed on the economic affordability of new vehicles, limiting the purchasing capacity of some households. This configuration tends to increase French households' sensitivity to price, making vehicle pricing an increasingly structuring factor in the purchase decision.

The regulatory framework also steers European manufacturers towards greater investment. Complying with decarbonisation and carbon-neutrality targets requires developing new powertrains, adapting production lines and integrating more innovative — and costly — technologies. In this context, financing this transition weighs on the sector's economics and tends to exert upward pressure on vehicle prices, particularly when these extra costs cannot be fully absorbed by productivity gains or volumes.

3. Conclusion

The French car market therefore remains shaped by balances still dominated by European manufacturers, but now subject to faster forces of recomposition. Heightened competition, households' increased price sensitivity and the growing demands of the regulatory transition are progressively redefining market conditions. In this new environment, manufacturers' ability to offer a competitive, affordable offering that complies with the new constraints will be a decisive factor in their future positioning.

4. Methodological box

Scope	The French automotive sector
Period	2022 – 2025

Sources	Eurostat, INSEE, Banque de France, CCFA
Method	Statistical analysis
Reading	As the car market is highly competitive, market shares are not stable from one year to the next.